



CHAPTER 105.

An Act to amend the Trading with the Enemy Acts.

A.D. 1916.

[27th January 1916.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

1.—(1) Where it appears to the Board of Trade that the business carried on in the United Kingdom by any person, firm, or company is, by reason of the enemy nationality or enemy association of that person, firm, or company, or of the members of that firm or company or any of them, or otherwise, carried on wholly or mainly for the benefit of or under the control of enemy subjects, the Board of Trade shall, unless for any special reason it appears to them inexpedient to do so, make an order either—

Power to deal with businesses of persons, &c. of enemy nationality or associations.

- (a) prohibiting the person, firm, or company from carrying on the business, except for the purposes and subject to the conditions, if any, specified in the order; or
- (b) requiring the business to be wound up.

The Board of Trade may at any time revoke or vary any such order, and may, in any case where they have made an order prohibiting or limiting the carrying on of the business, at any time, if they think it expedient, substitute for that order an order requiring the business to be wound up.

(2) Where the Board of Trade make any such order they may at the same time or at any time subsequently appoint a controller to control and supervise the carrying out of the order and, if the case requires, to conduct the winding up of the business, and in any case where it appears expedient to the Board of Trade, the Board may, as occasion requires, confer on the controller such powers as are exercisable by a liquidator in a voluntary winding-up of a company (including power in the name of the person, firm, or company, or in his own name, and

A.D. 1916. — by deed or otherwise, to convey or transfer any property, and power to apply to the High Court or a judge thereof to determine any question arising in the carrying out of the order), or those powers subject to such modifications restrictions or extensions as the Board think necessary or convenient for the purpose of giving full effect to the order, and the remuneration of and costs, charges, and expenses incurred by the controller, and any remuneration payable and costs, charges, and expenses incurred in connection with the supervision or inspection of the business, whether before or after the passing of this Act, to such amount as may be approved by the Board, shall be defrayed out of the assets of the business, and shall be charged on such assets in priority to any other charges thereon.

In England and Wales an official receiver may, if the Board of Trade think fit, be appointed controller.

(3) The distribution of any sums or other property resulting from the realisation of any assets of the business, whether those assets are realised as the result of an order requiring the business to be wound up or as the result of an order prohibiting or limiting the carrying on of the business, shall be subject to the same rules as to preferential payments as are applicable to the distribution of the assets of a company which is being wound up, and those assets shall, so far as they are available for discharging unsecured debts, be applied in discharging such debts due to creditors who are not enemies in priority to the unsecured debts due to creditors who are enemies; and any balance, after providing for the discharge of liabilities, shall be distributed amongst the persons interested therein in such manner as the Board of Trade may direct:

5 Geo. 5. c. 12. Provided that any sums or other property which had a state of war not existed would have been payable or transferable under this section to enemies, whether as creditors or otherwise, shall be paid or transferred to the custodian under the Trading with the Enemy Amendment Act, 1914, to be dealt with by him in like manner as money paid to him under that Act.

(4) Where there are assets of the business in enemy territory, the controller shall cause an estimate to be prepared of the value of those assets and also of the liabilities of the business to creditors, whether secured or unsecured, in enemy territory, and of the claims of persons in enemy territory to participate in the distribution of any balance available for distribution, and such liabilities and claims shall, for the purposes of this section, be deemed to have been satisfied out of such assets so far as they are capable of bearing them, and the balance (if any), of such liabilities and claims shall alone rank for payment out of the other assets of the business. A certificate by the controller as to the amount of such assets, liabilities claims and balance shall be conclusive for the purpose of determining the sums available for discharging the other liabilities and for distri-

bution amongst other persons claiming to be interested in the business : A.D. 1916.

Provided that nothing in this provision shall affect the rights of creditors of and other persons interested in the business against the assets of the business in enemy territory.

(5) The Board of Trade may, on application for the purpose being made by a controller appointed under this section, after considering the application and any objection which may be made by any person who appears to them to be interested, grant him a release, and an order of the Board releasing the controller shall discharge him from all liability in respect of any act done or default made by him in the exercise and performance of his powers and duties as controller, but any such order may be revoked on proof that it was obtained by fraud or by suppression or concealment of any material fact.

(6) If any person contravenes the provisions of any order made under this section he shall be guilty of a misdemeanour punishable and triable in like manner as the offence of trading with the enemy, and section one of the Trading with the Enemy Act, 1914, shall apply accordingly. 4 & 5 Geo. 5. c. 87.

(7) Where an order under this section has been made^a as respects the business carried on by any person, firm, or company, no bankruptcy petition or petition for sequestration or summary sequestration against such person or firm, or petition for the winding up of such company, shall be presented, or resolution for the winding up of such company passed, or steps for the enforcement of the rights of any creditors of the person, firm, or company taken, without the consent of the Board of Trade, but the Board of Trade may present a petition for the winding up of the company by the court, and the making of an order under this section shall be a ground on which the company may be wound up by the court.

(8) The Board of Trade shall from time to time prepare and lay before Parliament lists of the persons, firms, and companies as to whom orders have been made under this section, together with short particulars of such orders, and notice of the making of an order under this section prohibiting or limiting the carrying on of any business, or requiring any business to be wound up, shall be published in the London, Edinburgh, or Dublin Gazette, as the case may require.

(9) Where a person, being a subject of His Majesty or of any State allied to His Majesty, is detained in enemy territory against his will, that person for the purposes of this section shall not be treated as an enemy or as being in enemy territory.

(10) An order made under this section shall continue in force notwithstanding the termination of the present war until determined by order of the Board of Trade.

2. Where it appears to the Board of Trade that a contract entered into before or during the war with an enemy or enemy subject or with a person, firm, or company in respect of whose Provision as to contracts against public interest.

A.D. 1916. business an order shall have been made under section one of this Act is injurious to the public interest, the Board of Trade may by order cancel or determine such contract either unconditionally or upon such conditions as the Board may think fit, and thereupon such contract shall be deemed to be cancelled or determined accordingly.

Extension of powers to appoint inspectors and supervisors.

3. The power of the Board of Trade to appoint inspectors and supervisors under the Trading with the Enemy Acts, 1914 and 1915, shall include a power to appoint an inspector or supervisor of the business carried on by any person, firm, or company in the United Kingdom for the purpose of ascertaining whether the business is carried on for the benefit of or under the control of enemy subjects, or for the purpose of ascertaining the relations existing, or which before the war existed, between such person, firm, or company, or of any members of that firm or company, and any such subject; and the Board of Trade may require any inspector, supervisor, or controller appointed under the said Acts or this Act to furnish them with reports on any matters connected with the business.

Power of Board of Trade to vest enemy property in custodian.

4.—(1) The Board of Trade, in any case where it appears to them to be expedient to do so, may by order vest in the custodian under the Trading with the Enemy Amendment Act, 1914, any property, real or personal (including any rights whether legal or equitable, in or arising out of property, real or personal), belonging to or held or managed for or on behalf of an enemy or enemy subject, or the right to transfer that property, and may by any such order, or any subsequent order, confer on the custodian such powers of selling, managing and otherwise dealing with the property as to the Board may seem proper.

56 & 57 Vict. c. 53.

(2) A vesting order under this section as respects property of any description shall be of the like purport and effect as a vesting order as respects property of the same description made by the High Court under the Trustee Act, 1893, and shall be sufficient to vest in the custodian any property, or the right to transfer any property as provided by the order, without the necessity of any further conveyance, assurance, or document.

(3) Where in exercise of the powers conferred on him by the Board of Trade or by the court under this Act or by virtue of the Trading with the Enemy Amendment Act, 1914, the custodian proposes to sell any shares or stock forming part of the capital of any company or any securities issued by the company in respect of which a vesting order under either of the said enactments has been made, the company may, with the consent of the Board of Trade, purchase the shares, stock, or securities, any law or any regulation of the company to the contrary notwithstanding, and any shares, stock, or securities so purchased may from time to time be re-issued by the company.

(4) The transfer on sale by the custodian of any property shall be conclusive evidence in favour of the purchaser and of

the custodian that the requirements of this section have been complied with. A.D. 1916.

(5) All property vested in the custodian under this section, and the proceeds of the sale of, or money arising from, any such property shall be dealt with by him in like manner as money paid to and property vested in him under the Trading with the Enemy Amendment Act, 1914, and section five of that Act as amended by this Act shall apply accordingly.

5. It shall be the duty of every enemy subject who is within the United Kingdom, if so required by the custodian, within one month after being so required, to furnish the custodian with such particulars as to— Duty of enemy subjects to make returns as to property.

(a) any stocks, shares, debentures, or other securities issued by any company, government, municipal or other authority held by him or in which he is interested; and

(b) any other property of the value of fifty pounds or upwards belonging to him or in which he is interested as the custodian may require, and if he fails to do so he shall, on conviction under the Summary Jurisdiction Acts, be liable to a fine not exceeding one hundred pounds, or to imprisonment with or without hard labour for a term not exceeding six months, or to both such a fine and imprisonment, and, in addition, to a further fine not exceeding fifty pounds for every day during which the default continues.

6. If the benefit of an application made by or on behalf or for the benefit of an enemy or enemy subject for any patent is, by an order under the Trading with the Enemy Amendment Act, 1914, or this Act, vested in the custodian, the patent may be granted to the custodian as patentee and may, notwithstanding anything in section twelve of the Patents and Designs Act, 1907, be sealed accordingly by the Comptroller General of Patents, Designs, and Trade Marks, and any patent so granted to the custodian shall be deemed to be property vested in him by such order as aforesaid. Right of custodian to have enemy patent granted to him. 7 Edw. 7. c. 29.

7. Any restrictions imposed by any Act or Proclamation on dealings with enemy property shall continue to apply to property particulars whereof are or are liable to be notified to the custodian in pursuance of section three of the Trading with the Enemy Amendment Act, 1914, as extended by any subsequent enactment, not only during the continuance of the present war, but thereafter until such time as they may be removed by Order in Council, and Orders in Council may be made removing all or any of those restrictions either simultaneously as respects all such property or at different times as respects different classes or items of property. Duration of restrictions on dealings with enemy property.

A.D. 1916.

Registration of
transfer with-
out production
of certificates,
&c.

8.—(1) Where the custodian executes a transfer of any shares, stock, or securities which he is empowered to transfer by a vesting order made under section four of the Trading with the Enemy Amendment Act, 1914, or under this Act, the company or other body in whose books the shares, stock, or securities are registered shall, upon the receipt of the transfer so executed by the custodian, and upon being required by him so to do, register the shares, stock, or securities in the name of the custodian or other transferee, notwithstanding any regulation or stipulation of the company or other body, and notwithstanding that the custodian is not in possession of the certificate, script, or other document of title relating to the shares, stock, or securities transferred, but such registration shall be without prejudice to any lien or charge in favour of the company or other body or to any other lien or charge of which the custodian has notice.

(2) If any question arises as to the existence or amount of any lien or charge the question may, on application being made for the purpose, be determined by the High Court or a judge thereof.

Validity of
vesting orders.

9. Where a vesting order has been made under section four of the Trading with the Enemy Amendment Act, 1914, or under this Act as respects any property belonging to or held or managed for or on behalf of a person who appeared to the Court or Board making the order to be an enemy or enemy subject, the order shall not nor shall any proceedings thereunder or in consequence thereof be invalidated or affected by reason only of such person having, prior to the date of the order, died or ceased to be an enemy or enemy subject or subsequently dying or ceasing to be an enemy or enemy subject, or by reason of its being subsequently ascertained that he was not an enemy or an enemy subject, as the case may be.

Power to
refuse regis-
tration of
companies in
certain cases,
&c.

10.—(1) Where on an application for the registration of a company it appears to the Registrar of Joint Stock Companies that any subscriber of the memorandum of association or any proposed director of the company is an enemy subject, he may refuse to register the company.

(2) No allotment or transfer of any share, stock, debenture, or other security issued by a company made after the passing of this Act to or for the benefit of an enemy subject, shall, unless made with the consent of the Board of Trade, confer on the allottee or transferee any rights or remedies in respect thereof, and the company by whom the security was issued shall not take any cognisance of or otherwise act upon any notice of any such transfer except by leave of a court of competent jurisdiction or of the Board of Trade.

If any company contravenes the provisions of this section the company shall be liable on conviction under the Summary Jurisdiction Acts to a fine not exceeding one hundred pounds,

[5 & 6 GEO. 5.] *Trading with the Enemy Amendment* [CH. 105.]
Act, 1916.

and every director, manager, secretary, or other officer of the company who is knowingly a party to the default shall be liable on conviction to a fine for a like amount or to imprisonment, with or without hard labour, for a term not exceeding six months. A.D. 1916.

(3) Where the right of nominating or appointing a director of a company is vested in any enemy or enemy subject, the right shall not be exerciseable except by leave of the Board of Trade, and any director nominated or appointed in exercise of such right shall, except as aforesaid, cease to hold office as director.

11. Where the Board of Trade certify that it appears to them that a company registered in the United Kingdom is carrying on business either directly or through an agent, branch, or subsidiary company outside the United Kingdom, and that in carrying on such business it has entered into or done acts which if entered into or done in the United Kingdom would constitute the offence of trading with the enemy, the Board of Trade may present a petition for the winding-up of the company by the court, and the issue of such a certificate shall be a ground on which the company may be wound up by the court, and the certificate shall, for the purposes of the petition, be evidence of the facts therein stated. Power of court to order winding-up of companies in certain circumstances.

12. In subsection (2) of section five of the Trading with the Enemy Amendment Act, 1914, for the words "by whose order" any property belonging to an enemy was vested in the "custodian under this Act or of any court in which judgment has been recovered against an enemy" there shall be substituted the word "thereof." Amendment of 5 Geo. 5. c. 12. s. 5.

13. For removing doubts, it is hereby declared that the custodian under the Trading with the Enemy Acts, 1914 and 1915, has and shall be deemed always to have had power to charge such fees in respect of his duties under that Act and this Act, whether by way of percentage or otherwise as the Treasury may fix, and such fees shall be collected and accounted for by such persons in such manner and shall be paid to such account as the Treasury direct, and the incidence of the fees as between capital and income shall be determined by the custodian. Fees payable to custodian.

14. All things required or authorised under the Trading with the Enemy Acts, 1914 and 1915, or this Act to be done by, to or before the Board of Trade may be done by, to, or before the President or a Secretary or an Assistant Secretary of the Board of Trade, or any person authorised in that behalf by the President of the Board of Trade. Mode of action by Board of Trade.

15. In this Act the expression "enemy subject" means a subject of a State for the time being at war with His Majesty, and includes a body corporate constituted according to the laws of such a State. Definitions.

[CH. 105.] *Trading with the Enemy Amendment* [5 & 6 GEO. 5.]
Act, 1916.

A.D. 1916. **16.** This Act may be cited as the Trading with the Enemy
Amendment Act, 1916, and shall be construed as one with the
Short title and
construction. Trading with the Enemy Acts, 1914 and 1915, and those Acts
and this Act may be cited together as the Trading with the
Enemy Acts, 1914 to 1916.

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